SERVICE SCHEDULE NO. 2 - TRANSPORTATION MANAGEMENT SERVICES

This Service Schedule No. 2 for Transportation Services ("Schedule") is attached to and made part of that certain Master Services Agreement dated March 1, 201~~09~~, (the "MSA") by and between UPS Supply Chain Solutions, Inc. ("SCS") and ("Customer") as of November 4, 2009 (the "Effective Date"). Capitalized terms not defined in this Schedule shall have the meaning set forth in the MSA.

1. Provision of Services. SCS will provide transportation services to support Customer's logistics requirements related to transportation (the "Services"), in accordance with the MSA, the Governing Publications (as defined below) this Schedule and all bills of lading and other transportation documents issued by SCS and carriers, and the Exhibits specified below which Exhibits, transportation documents and Governing Publications are incorporated into this Schedule by reference. In the event of a conflict or inconsistency between this Schedule and any of the documents specified above, the order of precedence shall be as follows: (a) this Schedule, (b) the MSA, (~~b~~c) Exhibits A and B, (~~c~~d) transportation documents, and (~~d~~e) the Governing Publications. Customer acknowledges that this Schedule does not provide for the handling or transportation of Hazardous, or Dangerous ~~or Regulated~~ Goods. Such services may be provided to Customer upon mutual agreement and execution of SCS's then-current services appendix for such services. ~~Unless otherwise specified in a Services Appendix, SCS shall not be required to arrange for transportation of Goods in a special environment, including but not limited to air-conditioned, cooled, chilled or frozen environments.~~

Exhibit A – Fees
Exhibit B – Operating Parameters

1.1. Transportation Management Services. Customer requests, and SCS agrees to provide the Services pursuant to this Schedule, the MSA, and the SCS Logistics Terms and Conditions of Service (available upon request and on the World Wide Web at http://www.ups-scs.com/tools/terms/logistics_tc.pdf) in effect on the date of service, which are incorporated herein by this reference as though fully set forth herein and which will govern the Services unless otherwise specifically modified by this Schedule.

2. Term and Termination. The initial term of this Schedule shall commence on the Effective Date and shall continue up to and including ~~_____~~, February 28, 20~~__~~, 15, unless earlier terminated in accordance with the MSA. Thereafter, this Schedule will automatically renew for successive one-year renewal terms, unless either Party gives the other Party written notice of non-renewal at least ninety (90) days prior to the expiration of the then-current term. In addition to the termination provisions in the MSA, this Schedule may be terminated by either Party: (a) without cause upon ~~ninety~~ one hundred eighty (~~90~~180) days prior written notice or (b) with cause upon the commission of a material breach of this Schedule which is not cured within ninety (90) days after the breaching Party receives notice.

3. Fees. The Fees applicable to the Services and the Operating Parameters (as defined below) on which SCS has calculated the Fees are specified on Exhibit A. SCS will invoice Customer for the Fees as they are incurred by SCS, including following each shipment. Customer will pay all Fees on an invoice within fourteen (14) days from date of the invoice. The Fees will be reviewed annually. In addition, carrier surcharges associated with potential federal mandates pertaining to national security will be passed on to Customer, and Customer will pay them.

4. Operating Parameters. SCS has calculated the Fees set forth on Exhibit A based on the Operating Parameters set forth in Exhibit B. A change in any operating parameter will be governed by Section 3.5 of the MSA. ~~, In the event a change in any operating parameter (i.e., a change that is encountered over the course of time and is anticipated to be ongoing) or a "Changed Condition" (as defined below) occurs which increases the obligations or costs of SCS or Customer or adversely affects the ability of SCS to perform the Services, the affected party will provide written notice of the same to the other party, with such notice specifying in reasonable detail the impact of the change in operating parameters or the Changed Condition on the Services and requesting a change to the then current Fees. Any change to the Fees will be memorialized in a mutually acceptable and executed amendment to this Agreement. "Changed Condition" means (i) the enactment or promulgation of any new law or regulation or any change to any existing law or regulation occurring after the Effective Date,. SCS shall not be responsible for any liability for failure to meet performance commitments due to a Changed Condition unless SCS specifically agrees in writing to the contrary.~~

~~The following provision supersedes any conflicting provision of the MSA with regard to this Schedule: In the event of a change in any Operating Parameter, SCS will propose an adjustment to the Fees to respond to the change by providing Customer with fifteen (15) days prior written notice thereof, setting forth with reasonable specificity the basis for such adjustment. Customer shall not unreasonably withhold its approval of such adjustment. If Customer refuses to pay such adjustment, either Party may immediately escalate the matter to senior managers of each Party. Thereafter, if the Parties have still not reached an agreement, the Parties may proceed with resolution of the dispute or termination in accordance with the MSA.~~

~~4.~~5. **Liability for Loss or Damage.** SCS shall use commercially reasonable efforts to require all carriers (including carriers that are affiliates of SCS) selected by SCS for the purposes of transporting Goods to maintain motor cargo insurance in the amount of $100,000 to cover lost or damaged Goods caused by carrier's negligence. Notwithstanding the foregoing, Customer acknowledges and agrees that the carrier of the Goods shall have the risk of any loss of or damage to the Goods managed pursuant to this Schedule while the Goods are in such carrier's care, custody, or control on such terms and conditions as may be agreed to in writing between SCS and the carrier. Notwithstanding anything to the contrary in this Agreement, SCS shall have no liability for any loss of or

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damage to any Goods transported by a carrier (including carriers that are affiliates of SCS) and, in each such event, any claim of loss of or damage to such Goods shall be governed by the applicable standard terms and conditions of such carrier. In no event shall SCS have any responsibility to pay any amounts which a carrier fails or refuses to pay with respect to any carrier claim.

5.6. **Carrier Claims.** Upon Customer's request and payment of the associated Fees specified on Exhibit A, SCS will file on Customer's behalf any claim for any loss or damage to Goods, provided that Customer gives SCS written notice of such claim within thirty (30) days after delivery of the Goods by SCS'-s carrier or thirty (30) days after Customer is given written notice by SCS that loss or damage to the Goods has occurred, ~~whichever is earlier~~later. If Customer fails to provide SCS notice of a claim in accordance with this Section, Customer's right to bring such claim is waived. SCS will act on behalf of Customer in the filing and processing of such claims, and Customer will reimburse SCS for all reasonable costs and expenses incurred by SCS in connection with the filing and prosecution of such claims.

6.7. **Disclaimer.** SCS is not responsible for any consequences that result from any action of Customer in following or declining to follow any advice of SCS, it being acknowledged and agreed by Customer that all decision-making regarding Customer, including without limitation whether or not to follow any advice given by SCS, is solely the responsibility of Customer.

7.8. **Notices.** In addition to the requirements of the Notices provision in the MSA, any notice required under this Schedule shall be directed to the following individuals:

To SCS:

UPS Supply Chain Solutions, Inc.
12380 Morris Road
Atlanta, Georgia 30328

If to Customer:

8.9. **Governing Publications.** Transportation of all Goods under this Schedule is subject to the following publications:

1. National Motor Freight Classification ("NMFC") - 100 W series or reissues thereof.
2. U.S. Postal Service Zip Code Directory.
3. P.C. Miler as appropriate to the contracts and shipments involved, in use by SCS at date of shipment.

If any such publication conflicts with this Schedule, this Schedule shall govern.

9.10. **Survival.** The following provisions of this Schedule will survive its expiration or termination: Termination Costs, Liability for Loss or Damage, and Carrier Claims.

IN WITNESS WHEREOF, the parties hereto have caused this Schedule to be executed by their duly authorized representatives as of the day and year first written herein.

UPS SUPPLY CHAIN SOLUTIONS, INC.	**ENDO PHARMACEUTICALS INC.**
"SCS"	**"CUSTOMER"**
_____	_____
Signature	**Signature**
_____	_____
Printed Name	**Printed Name**
_____	_____
Title	**Title**
_____	_____
Date	**Date**

Endo SS2 110409

Comment [AAG1]: This is not acceptable due to the low insurance requirements and Endo's lack of control over SCS' choice of carriers.

Comment [SCS JLB2]: SCS does not accept liability while the goods are in the care, custody and control of a third party.

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EXHIBIT A – FEES
TO SERVICE SCHEDULE NO. 2 - TRANSPORTATION SERVICES

In accordance with this Schedule, Customer will pay to SCS the following Fees:

1. Weekly Maintenance Fee: ~~10~~5% of weekly invoiced TL transportation expense.
2. Surcharge for invoices received from carriers not identified in the SCS Routing Guide: 10% of weekly invoiced LTL expense.
3. Accessorial charges will be charged to the Customer as incurred. Accessorial charges are not included in the published rates.
4. Rates for non-temperature controlled LTL are:

LTL

LTL Rates: Based on Czar Lite 2000 NMF Class 50 - 65 rated at FAK 50, NMFC 70 - 150 rated at class 70, actual class on all others. The rates below are not inclusive of UPS SCS fuel surcharge or other accessorial charges.			
Carrier	Discount	Minimum Charge	Coverage
VITR	71.0%	$78.00	Origin TN and PA to AR, DC, IA, IL, IN, KY, MD, MI, MN, MO, ND, NE, NJ, OH, OK, PA, SD, TN, TX, VA, WI, WV
UPGF	65.0%	$89.00	Origin TN to CT, DE, KS, MA, ME, NH, NY, RI, VT
UPGF	68.0%	$78.00	Origin TN to AL, GA, NC, MS, SC
UPGF	65.0%	$89.00	Origin TN and PA to AZ, CA, CO, FL, ID, LA, MT, NM, NV, OR, UT, WA, WY
CNWY	64.0%	$83.00	Origin PA to CT, DE, KS, MA, ME, NH, NY, RI, VT
CNWY	59%	$83.00	Origin PA to AL, GA, NC, MS, SC

4.1 LTL shipments will be rated off of CZAR 2000 – what is this? Ask UPS

Comment [jdragains3]: CZAR LITE 2000 is a standard LTL rate tariff allowing the use of a common tariff across multiple carriers.

4.2 Rates published herein are applicable on direct shipments

4.3 Rates published herein apply to shipments were SCS is shown on the original Bill of Lading as the payer of the freight charges.

~~5. Fees for processing carrier claims: $65 per claim~~

~~6.~~5. Carrier charges shall be billed to Customer at the agreed upon rates. SCS will use commercially reasonable efforts to minimize or eliminate annual price increases from its core carriers. However, SCS will pass any carrier price increases on to Customer.

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EXHIBIT B – OPERATING PARAMETERS
TO SERVICE SCHEDULE NO. 2 - TRANSPORTATION SERVICES

Based on the data supplied by Customer, SCS anticipates the following Operating Parameters:

1. Goods: FDA approved pharmaceuticals

2. The location of the distribution facilities may change during the term of this TSA. The solutioned locations are Harrisburg, PA and Memphis, TN.

3. Hours of Operation: 7:00 AM through 5:00 PM local facility time, Monday through Friday, excluding Holidays specified in this Services Appendix.

~~4. Customer will not require SCS to make arrangements for and execute shipments that require special services outside of Customer's normal day-to-day shipping activity.~~ After hours Services operations coverage will not be required.

~~4.~~5. Holiday Schedule:

Thanksgiving Day	Day after Thanksgiving
Christmas Day	New Year's Eve
New Year's Day	Memorial Day
4th of July	Labor Day

~~5.~~6. SCS will manage SCS carrier contracts and negotiations on behalf of customer for carrier parts of this program

~~6.~~7. FAK 70 was assumed

~~7.~~8. Other Value Added Services can be added if mutually agreed upon between SCS and customer. Fees and services can be provided on a spot quote basis.

~~8.~~9. SCS will manage the claims process with SCS contracted carriers that are part of this program on behalf of customer.

~~9.~~10. Service requirements under this TSA exclude: However services could be provided as needed.

~~9.1.1. Transportation of hazardous, dangerous, or other regulated goods.~~

~~9.1.2. Specialized security measures for high value or high risk goods~~

~~9.1.3. Temperature or climate controlled transportation~~

~~9.1.4.~~10.1.1. Team driver service

~~9.1.5.~~10.1.2. Flatbed or other specialized equipment

~~9.1.6.~~10.1.3. Expedited or guaranteed transit

~~9.1.7.~~10.1.4. Customers House Brokerage, Customs Clearance, Duties, Taxes, or any charges based on International shipments.

~~10.~~11. Serviced requirements under this agreement include:

~~10.1.1.~~11.1.1. LTL

~~10.1.2.~~11.1.2. Reporting

~~11.~~12. Governing Publications. Transportation of all Goods under this schedule is subject to the following publications:

~~11.1.1.~~12.1.1. National Motor Freight Classification ("NMFC")-100W series of reissues thereof

~~11.1.2.~~12.1.2. US Postal Service Zip Code Directory

~~11.1.3.~~12.1.3. PC Miler as appropriate to the conflicts with this Schedule, this Schedule shall govern.

~~12.~~13. General Freight Characteristic Assumptions

~~12.1.1.~~13.1.1. Freight is packaged, palletized, and shrink-wrapped

~~12.1.2.~~13.1.2. Driver no touch, dock to dock deliveries

~~12.1.3.~~13.1.3. Pricing will undergo a sixty (60) day review to validate operating parameters. If determined the operating parameters are different that originally presented, ~~SCS pricing will be modified to account for the new operating~~

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Comment [AAG4]: We have controlled substances.

Comment [AAG5]: We've got this too.

Comment [jdragains6]: Agreed – Regulated goods and temperature controlled TL moves.

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~~parameters. Modified pricing will be retroactive back to the original start date~~SCS will notify Endo of its concerns, and the parties will negotiate in good faith for a revised pricing schedule.

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